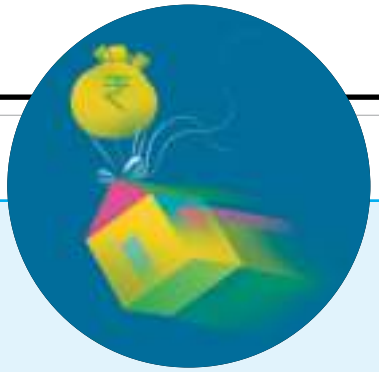

THINGS TO CONSIDER WHEN ZEROING IN ON A HOME LOAN

With many institutions (banks and finance companies) offering home loans, choosing the right one calls for careful evaluation. As every lender's situation and requirement vary, each one needs to make an informed decision to ensure they have the best loan for them:

- **Eligibility:** The borrower's income, employment status, credit score and repayment capacity play a key role in determining approval. Strengthening these factors enhances your chances of securing a higher loan amount at more favourable terms
- **Loan-to-Value (LTV) Ratio:** This defines the proportion of the property value that the lender will finance, with the remaining portion covered by the borrower through a down payment
- **Purpose:** The type of home loan (construction, improvement, ready-to-buy, etc.) varies based on the end use for the loan you have. Depending on the type of loan, the interest rate and other modalities, such as loan tenure, change based on the purpose of the loan
- **Processing fees and other charges:** Banks and housing finance companies charge various fees, including processing fees, legal verification costs and administrative expenses. Often, these expenses can impact your borrowing, as these charges are usually linked to the loan value
- **Interest rates:** Compare fixed and floating rates as well as the base rate to which the loan is linked. A change in policy rates alters the base rate against which a loan is typically calculated. This means the effective interest you pay on the loan you have taken changes every time the base rate is reset
- **Repayment flexibility:** Compare lenders based on their repayment flexibility, such as the allowance for delays in EMI payments or even missing an EMI payment occasionally. Some lenders provide a built-in flexible clause, while others may give you a waiver in some instances

When it comes to interest rates, most lenders offer repo-rate-linked home loans. This means the interest rate on the loan is tied to the repo rate—the interest rate at which the Reserve Bank of India (RBI) loans money to commercial banks. So when the RBI revises the repo rate, your home loan interest rate also changes, typically after a short transition period. Lenders require this transition period to adjust the interest rate to a higher or lower level within a reasonable timeframe, as dictated by the bank's rules and policies.

The EMI itself will depend on the loan tenure. This means the EMI will be lower for a loan with a longer tenure and higher for a loan with a lower tenure. The interest payout will naturally be higher on loans with longer repayment tenures. Choose your loan tenure based on a realistic assessment of your repayment capacity.

LOOK FOR LENDERS WHO ALLOW FOR LUMPSUM PRINCIPAL REPAYMENT DURING THE LOAN TENURE, WHICH CAN DIRECTLY REDUCE THE BALANCE AMOUNT

Another important factor is how the lender treats intermittent additional repayments toward the principal sum borrowed. Your EMI consists of two parts—the principal and the interest. In the early years of the loan, the interest component is higher, while the principal component is smaller. This means it can take several years before you begin repaying a significant component of the principal.

You should look for lenders who allow for lumpsum principal repayment during the loan tenure, which can directly reduce the principal amount from your loan, reducing the outstanding balance and potentially shortening the loan tenure. This is an essential feature to check with your lender when taking a home loan.

Finally, submit all required documents when closing your loan, and obtain a No Objection Certificate (NOC) along with a no-dues statement confirming you have fully repaid the lender.

If this feels overwhelming, consider engaging a home loan agent to guide you toward the right choice. Today, there are also several apps and online resources to help you select a home loan. Whichever lender you end up choosing, make sure your choice fits in with your goals and lifestyle. The best home loan tenure is the one that allows you to enjoy your new home without financial stress, both today and in the future. ■

—Narayan Krishnamurthy